Response to the Editor

Manuscript 292892: “Who Gets an ESG Score? Coverage Selection and Firm Value in Five Southeast Asian Markets”

Southeast Asian Journal of Economics

Dear Professor Zikos,

Thank you for the opportunity to revise our manuscript, and thank you and Reviewer A for detailed and constructive comments. We have revised the paper in response to every comment. The three most important changes are these. First, we now distinguish throughout between the first recorded score, which the database shows, and publicly observable coverage, which we cannot date, and a new Section 3.3 explains what the recorded year can and cannot tell us. Second, we have reframed the paper around the evidence the data support best: entry into ESG coverage is selective, and the valuation effect of coverage cannot be reliably identified without additional assumptions. Third, we have added the analyses the reviewer requested: a step-by-step reconciliation of the two treatment datings on a common sample (new Table 4), size-adjustment and common-support checks with a doubly robust estimator (new Tables 5 and 6), checks for missing valuation data and recording errors (new Table 7), and the weight of each market and wave in the pooled estimate (new Table S9).

As requested, we answer the editor’s comments in this letter and Reviewer A’s comments in a separate response file. Comments are quoted in full in italics, and our responses follow in plain text. Section, table, and equation numbers refer to the revised manuscript, in which every sentence that is new or differs from the submitted version is highlighted in blue; text we deleted is not shown. A clean version is also provided. Some secondary results moved from the main text to Appendix A of the supplementary material to keep the paper within the journal’s usual length.

Response to the Editor

Comment E1

“Emphasis on originality and clearer contribution: Please revise the paper in a way that makes its contribution clearer for the reader. You need to motivate your paper in relation to the

literature and rewrite wherever possible using simple economic intuitions, including the introduction, to clearly state the purpose of the paper and additional contributions. Please also have a look at past issues of the Southeast Asian Journal of Economics and cite papers that are relevant to your topic."

We agree and have rewritten the introduction around one question and its economic intuition. The revised manuscript changes Section 1 throughout and adds citations to three papers published in the journal (Sections 2.2, 2.3, 4.3, and 6.3).

The first paragraph now states the purpose in plain terms: an ESG score works as an entry ticket, because funds and indices restricted to scored stocks cannot buy an unscored firm, and the paper asks which firms enter the scored universe and what happens to their valuation around entry. The second paragraph gives the intuition. If a score makes a firm visible to more investors, its price should rise because a wider investor base shares its risk (Merton, 1987); if the score also signals whether the firm is green or brown, prices should move in opposite directions for the two groups. A provider does not score firms at random, however, and if firms enter after a period of rising value, a comparison of scored and unscored firms credits the score with growth that came before it. The paper asks how far the data can separate the effect of being scored from the selection of who is scored. The findings paragraphs now follow this logic, and the contribution paragraph states three contributions: evidence of selection into coverage in Southeast Asian markets, a demonstration of why the valuation effect of coverage is hard to identify, and a practical warning for empirical work in the region.

We searched past issues of the journal for related work and cite three papers where they bear on our argument. Nguyen (2025) shows that ownership structure is associated with the corporate social responsibility scores of Vietnamese listed firms; we cite it in Section 2.3 on which firms disclose enough to be scored. Sudsawasd and Sakdapat (2026) show that local institutional, foreign, and retail investors on the Stock Exchange of Thailand respond differently to trading costs; we cite it in Sections 2.2 and 6.3, where investor participation is the channel through which a score would act and which our data cannot observe. Prukumpai et al. (2022) show that political uncertainty moves Thai stock prices; we cite it in Section 4.3 to motivate the market-level shocks that our country indicators and cluster bootstrap address. We did not find a paper in

the journal on ESG rating coverage itself, and we did not add citations that are not related to the argument.

Comment E2

"Abstract: Please write the abstract as clearly as possible, along with the key economic arguments for the ideas you are exploring (you should try to keep it at about 150 words or less). Sometimes when the abstract is hard to comprehend or remains technical, an average reader avoids reading the paper. Thus, it would be in your own interest to make the abstract clear, including the last line as a general forward-looking conclusion on the topic."

We have rewritten the abstract. It now has 149 words, contains no test statistics or confidence intervals, states the economic argument, and ends with a forward-looking conclusion. The revised abstract reads:

> Most listed firms in Southeast Asia have no environmental, social, and governance (ESG) score, so investors who screen on scores cannot hold them. We ask which firms enter the London Stock Exchange Group (LSEG) ESG database and what happens to their valuation around entry. We follow 675 non-financial firms in Indonesia, Malaysia, the Philippines, Singapore, and Thailand that received a first recorded score and compare them with 2,613 never-scored firms. Entry is selective. Scored firms are larger, and on average their market-to-book ratio had grown 10.0% faster than that of similar firms before the first recorded score, a run-up not detected in a broad Malaysian wave. After entry, the valuation gap stops widening, but whether coverage itself changed valuations depends on when investors first saw the score and on untestable trend assumptions. Research and investment screens that compare rated with unrated firms should model who gets rated and when.

Comment E3

"Title page and references: In your revised version, the title page or cover page of the main document should include an acknowledgements footnote, acknowledging comments received from the reviewer(s) and editor(s) in this footnote. Please make sure that your references are up-to-date and have complete citation details. It would be good to check your references and, where relevant, remove very old unpublished working papers and/or obscure journals."

We have added the acknowledgements footnote to the title page. It reads: “The authors thank the editor of the Southeast Asian Journal of Economics and an anonymous referee for comments and suggestions that substantially improved this paper. An earlier version of the manuscript was edited for language by a native English-speaking editor.”

We checked every reference for complete details and current publication status. All journal articles have volume, issue, pages, and a DOI where one exists. Two references remain working papers: Berg, Fabisik, and Sautner (2020), on the rewriting of historical Refinitiv ESG scores, and Berg, Heeb, and Kölbel (2022), on the effect of MSCI rating changes on fund holdings and returns. We searched for journal versions of both in October 2026 and found none. We keep them because they are recent, widely cited, and the primary evidence for two points the paper relies on: that the provider we study has revised historical scores, which bears directly on Reviewer A’s first comment, and that ESG fund holdings respond to MSCI ratings. The paper cites no unpublished paper older than these and no paper from a journal we would regard as obscure. The new references are Crump et al. (2009), on estimation under limited overlap, and the three papers from this journal listed under Comment E1. We removed Serafeim and Yoon (2023), which the revised text no longer cites.

Comment E4

“Proofreading: Your next version should be as complete as possible. Indeed, this is the time to do a thorough edit of the paper by sending it to a professional editorial service.”

We agree. We edited the whole manuscript for consistency of terms, numbers, and cross-references, and every number in the text, tables, and this letter is read from the output files of our code. [AUTHOR_INPUT_NEEDED: name of the professional editorial service that edited the revised manuscript, and the month of the edit.]

Comment E5

“Use of AI and AI-assisted technologies: If authors use generative AI or AI-assisted tools during the writing process, these tools should be limited to improving the language and readability of the manuscript. They must not be used to generate core content such as scientific insights, conclusions, or policy recommendations. Authors must disclose any use of such tools on the title

page of their manuscript. Generative AI tools should not be credited as authors or co-authors, nor cited as such."

We have added a declaration of the use of generative AI tools to the title page, under the heading "Declaration of generative AI and AI-assisted technologies". It describes the tool, the period, and every task for which we used it, including uses beyond language and readability, so that the editor can assess our use against the journal's policy. No AI tool is listed or credited as an author, and none is cited as a source. [AUTHOR_INPUT_NEEDED: the authors' statement on how the research questions, interpretation, and conclusions were developed and checked by the authors, in light of the journal's policy.]

Summary of changes

Comment	Change	Location in the revised manuscript
E1	Introduction rewritten around one question and its intuition; three papers from this journal cited	Section 1; Sections 2.2, 2.3, 4.3, 6.3
E2	Abstract rewritten (149 words), forward-looking last sentence	Abstract
E3	Acknowledgements footnote; references checked; working papers explained	Title page; References
E4	Full edit for consistency	Whole manuscript
E5	Declaration of AI use	Title page
A1	First recorded score distinguished from publicly observable coverage; datings g, $g + 1$, $g + 2$	Sections 1, 3.2, 3.3, 5.3, 5.4, 6.1, 8; Abstract

Comment	Change	Location in the revised manuscript
A2	Pre-trend reading corrected; arguments for and against assumption (2); observed path separated from causal reading	Sections 4.1, 5.2, 5.3, 5.5, 5.8; Table 2 title
A3	Step-by-step reconciliation of the two datings on a common sample; datings by wave	Section 5.4; Table 4; Table S10
A4	Size adjustment, support restrictions, doubly robust estimator; retained and excluded firms	Sections 4.2, 5.6; Tables 5, 6
A5	Motivating and testable mechanisms separated; cautious reading of the score split	Sections 2.4, 5.9, 6.3
A6	Source of missing MTB corrected; firm-years with and without MTB compared; recording errors identified and removed	Sections 3.2, 3.4, 5.7, 7; Table 7; Table S11
A7	Weight of each market, wave, and year in the pooled estimate	Section 5.10; Table S9
A8	Contribution reframed around selection; implications rewritten	Abstract; Sections 1, 6.2, 6.4, 8

New material: Tables 4 to 7 in the manuscript; Tables S9 to S11 and Appendix B.8 to B.10 in the supplementary material; the R code that produces them is part of the replication package.

We hope the revised manuscript meets the concerns of the editor and the reviewer, and we thank you again for your guidance.

Sincerely,

The authors